
A-Worthy Education

H2 Economics 9570 Study Suite

Document 56

Macro CSQ Practice Set D

Four Case Studies — Question Paper

Instructions

1. This set contains four case study questions covering core macroeconomic topics.
2. Suggested timing per case study: 45 minutes.
3. Model answers are in Document 57.

Case Study D1 — China: Slowing Growth and Structural Transition

Extract D1.1: GDP and policy targets

China's real GDP grew 5.0% in 2024, in line with the government's "around 5%" target but below the historical average of 9.5% (1990–2019). Fixed asset investment grew 3.2%, with property-sector investment falling 9.6%. Retail sales grew 3.5%, well below the pre-pandemic trend.

Extract D1.2: Sectoral indicators, 2024

Indicator	Value
Manufacturing PMI (avg)	49.8
Services PMI (avg)	51.2
Producer Price Index (% YoY)	−2.2
Headline CPI (%)	0.2
Youth unemployment (16–24)	17.1

Extract D1.3: Property sector and debt

China's property sector, historically 25–30% of GDP through direct and induced effects, has been in correction since 2021. Total household debt reached 64% of GDP. Local government financing vehicles (LGFVs) carry estimated debt of RMB 60 trillion, much of it backed by land values that are themselves under pressure. The central government's debt remains low (24% of GDP), but consolidated public-sector debt exceeds 100% of GDP on most estimates.

Extract D1.4: Policy response

The People's Bank of China (PBOC) lowered the reserve requirement ratio (RRR) by 50 bps in 2024 and cut the 7-day reverse repo rate by 30 bps. The government announced a RMB 10 trillion local-government debt-swap programme. Property-purchase restrictions in tier-1 cities were eased.

Questions

- (a) Identify two features of China's macroeconomic position in 2024 from Extracts D1.1 and D1.2. [2]
- (b) Explain how the property-sector correction in Extract D1.3 affects China's aggregate demand. [6]
- (c) Discuss whether China is at risk of deflation. [6]
- (d) Assess the effectiveness of the PBOC's monetary policy in stimulating growth. [8]
- (e) To what extent does the rise in youth unemployment to 17.1% reflect structural rather than cyclical factors? [8]

Total: 30 marks

Case Study D2 — United States: Soft Landing or Deferred Recession?
Extract D2.1: Fed tightening cycle

The Federal Reserve raised the federal funds rate from a range of 0–0.25% in March 2022 to 5.25–5.50% by July 2023, the fastest tightening cycle since the early 1980s. The Fed held this peak through July 2024 before commencing cuts (100 bps cumulative by end-2024).

Extract D2.2: Macroeconomic outcomes, 2024

Indicator	2024
Real GDP growth (%)	2.8
Headline CPI (%)	2.9
Core PCE inflation (%)	2.6
Unemployment rate (%)	4.2
Job openings ratio (per unemployed)	1.1
S&P 500 (annual return, %)	+23

Extract D2.3: Underlying dynamics

US fiscal policy has been highly expansionary. The federal deficit averaged 6.4% of GDP through 2022–2024, double the pre-pandemic average, with major support from the CHIPS Act and the Inflation Reduction Act. Federal debt held by the public reached 99% of GDP. Long-term Treasury yields (10-year) stood at 4.4%, with the term premium turning positive after a decade of suppression.

Questions

- (a) Describe two features of the US macroeconomic position in 2024. [2]
- (b) Explain how the Fed’s interest-rate increase affects aggregate demand. [6]
- (c) Discuss why the US economy avoided recession despite the most aggressive tightening cycle in four decades. [8]
- (d) Assess the sustainability of a fiscal deficit averaging 6.4% of GDP at near-full employment. [6]
- (e) Discuss whether the US “soft landing” is genuinely achieved or merely deferred. [8]

Total: 30 marks

Case Study D3 — Argentina: Hyperinflation and Stabilisation

Extract D3.1: Inflation trajectory

Argentina's annual CPI inflation accelerated from 50% (2021) to 211% (December 2023). Following a sharp policy shift in December 2023, monthly inflation peaked at 25.5% (December 2023), then fell to 2.7% (October 2024). Twelve-month inflation in October 2024 stood at 193%, but with sharp deceleration.

Extract D3.2: Stabilisation programme

The new government (December 2023) devalued the official peso by 54%, removed energy and transport subsidies, fired 30,000 federal employees, and announced a fiscal-zero policy. The budget moved from a 4.5% deficit (2023) to a 0.4% primary surplus in 2024. Quasi-fiscal central-bank losses, a primary money-creation channel, were eliminated.

Extract D3.3: Real economy outcomes, 2024

Indicator	Value
Real GDP (% YoY)	−3.5
Real wages (% YoY)	−15
Poverty rate (%)	52.9
Country risk (EMBI bps)	759
Foreign exchange reserves (US\$bn)	28

Questions

- Define inflation and distinguish it from hyperinflation. [2]
- Explain two causes of high inflation in Argentina with reference to Extract D3.2. [6]
- Discuss the costs of high inflation to the Argentine economy. [6]
- Assess the effectiveness of the stabilisation programme in Extract D3.2. [8]
- To what extent does the data in Extract D3.3 indicate that the social cost of stabilisation outweighs the benefit? [8]

Total: 30 marks

Case Study D4 — Vietnam: Manufacturing Hub of Southeast Asia**Extract D4.1: Growth and exports**

Vietnam's real GDP grew 7.1% in 2024, the fastest in ASEAN. Manufacturing exports reached US\$405bn, equal to 96% of GDP. Electronics (mobile phones, computer components) accounted for 35% of exports; textiles and footwear, 20%. FDI inflows reached US\$25.4bn, with major commitments from Samsung, Foxconn, LG, and Apple suppliers.

Extract D4.2: “China+1” relocation

Companies seeking to reduce China dependence have relocated production to Vietnam over the past five years. Vietnam's share of US imports rose from 1.9% (2018) to 3.9% (2024). Vietnam's labour cost advantage (manufacturing wage approximately US\$320/month versus China's US\$830/month) remains significant. Domestic value-added in exports, however, remained at 50% — meaning half of export value reflects imported intermediates assembled in Vietnam.

Extract D4.3: Constraints

Power outages affecting industrial parks in 2023 and 2024 raised concerns about grid capacity. Industrial land prices near Ho Chi Minh City rose 16% in 2024. Skilled labour shortages, particularly in semiconductor and high-tech segments, were cited by 78% of foreign investors as a binding constraint.

Questions

- (a) Identify two features of Vietnam's export sector from Extract D4.1. [2]
- (b) Explain how FDI inflows raise Vietnam's productive capacity. [6]
- (c) Discuss the implications of Vietnam's domestic value-added share remaining at 50%. [6]
- (d) Assess the constraints to Vietnam's continued growth identified in Extract D4.3. [8]
- (e) To what extent should Vietnam adopt supply-side policies to support its manufacturing-led growth model? [8]

Total: 30 marks

End of Document 56.